

CHAPTER 7 CONTROLLING

DEFINITION OF CONTROLLING

A management function that ensures actual activities conform to planned activities.

It is Pervasive than planning.

It helps to monitor the effectiveness of planning, organizing and leading activities. An essential part of the control process is **taking corrective actions** as needed. The major importance of controlling is measurement and correction of performance in order to make sure that enterprise objective and plans are accomplished. "Controlling means the process of gathering and 'feeding back' information about performance so that decision makers can compare actual results and decide what to do about any apparent discrepancies or problems"

– **David A. Nadler**

Controlling begins with the **framework of expectations** provided by the standards. From that point, control consists of a series of steps intended to help ensure that actual performance conforms to expected performance.

Control is the process through which managers assure that actual activities conform to planned activities.

Scholars have Defined Controlling

According to **Breach** - "Control is checking current performance against predetermined standards contained in the plans, with a view to ensuring adequate progress and satisfactory performance."

According to **George R Terry** - "Controlling is determining what is being accomplished i.e., evaluating the performance and if necessary, applying corrective measures so that the performance takes place according to plans."

According to **Billy E Goetz** - "Management control seeks to compel events to conform plans".

According to **Robert N Anthony** - "Management control is the process by which managers assure that resources are obtained and used effectively and efficiently."

In the words of **Koontz and O'Donnell** - "Managerial control implies measurement of accomplishment against the standard and the correction of deviations to assure attainment of objectives according to plans."

IMPORTANCE OF CONTROLLING

Organisations try to achieve their objectives through various actions. From this point of view, all the actions lead to the achievement of organisational objectives. However, the organisations must also monitor whether they are achieving their objectives or not. Thus, control is an integrated action of an organisation or manager. It offers help in the following directions:

1. Adjustments in Operations: A control system acts as an adjustment in organisational operations. Every organisation has certain objectives to achieve which become the basis for control. It is not sufficient merely to have objectives but also to ensure that these objectives are being achieved by various functions. Control provides this clue by finding out whether plans are being observed and suitable progress towards the objectives is being made, and acting, if necessary, to correct any deviation. This may result into taking actions more suitable for the achievement of organisational objectives.

2. Policy Verification: Various policies in the organisation generate the need for control. For organisational functioning, managers set certain policies and other planning elements which later become the basis and reason for control. They become basis in the sense that organisational performance is reviewed in these lights. They also become the reason for control because through these, an organisation tries that its various individuals adhere to such framework. In this process, the organisation and its management can verify the quality of various policies.

3. Managerial Responsibility: In every organisation, managerial responsibility is created through assignment of activities to various individuals. This process starts at the top level and goes to the lower levels. However, when a manager assigns some activities to his subordinates, he remains responsible for that portion of activities for their ultimate performance. It is quite natural that when a person is responsible for the performance of his subordinates, he must exercise some control over them. Thus, the control is required because of the very basic nature of the organisation itself. In large organisations, many individuals contribute to the organisational objectives. For efficient performance, they are arranged in hierarchy, forming superior-subordinate relationship throughout the organisation. Since each superior is responsible for the activities of his subordinates also, the control flows throughout the organisation beginning at the top level, the only difference being nature and scope of control.

4. Psychological Pressure: Control process puts a psychological pressure on the individuals for better performance. The performance of the individuals is evaluated in the light of targets set for them. A person is likely to put better performance if he is aware that his performance will be evaluated. He may feel pressure to achieve the results according to the standards fixed for him. This is further complemented by the reward and punishment based on the performance. Since the performance measurement is one of the basic elements of the control process, it ensures that every person in the organisation contributes to his maximum ability.

5. Coordination in Action: Though coordination is the essence of management and is achieved through the proper performance of all managerial functions, control affects this aspect significantly. Control systems are designed in such a way that they focus not only on the operating responsibility of a manager but also on his ultimate responsibility. This forces a manager to coordinate the activities of his subordinates in such a way that each of them contributes positively towards the objectives of the superior. Since this follows throughout the organisation, coordination is achieved in the organisation as a whole.

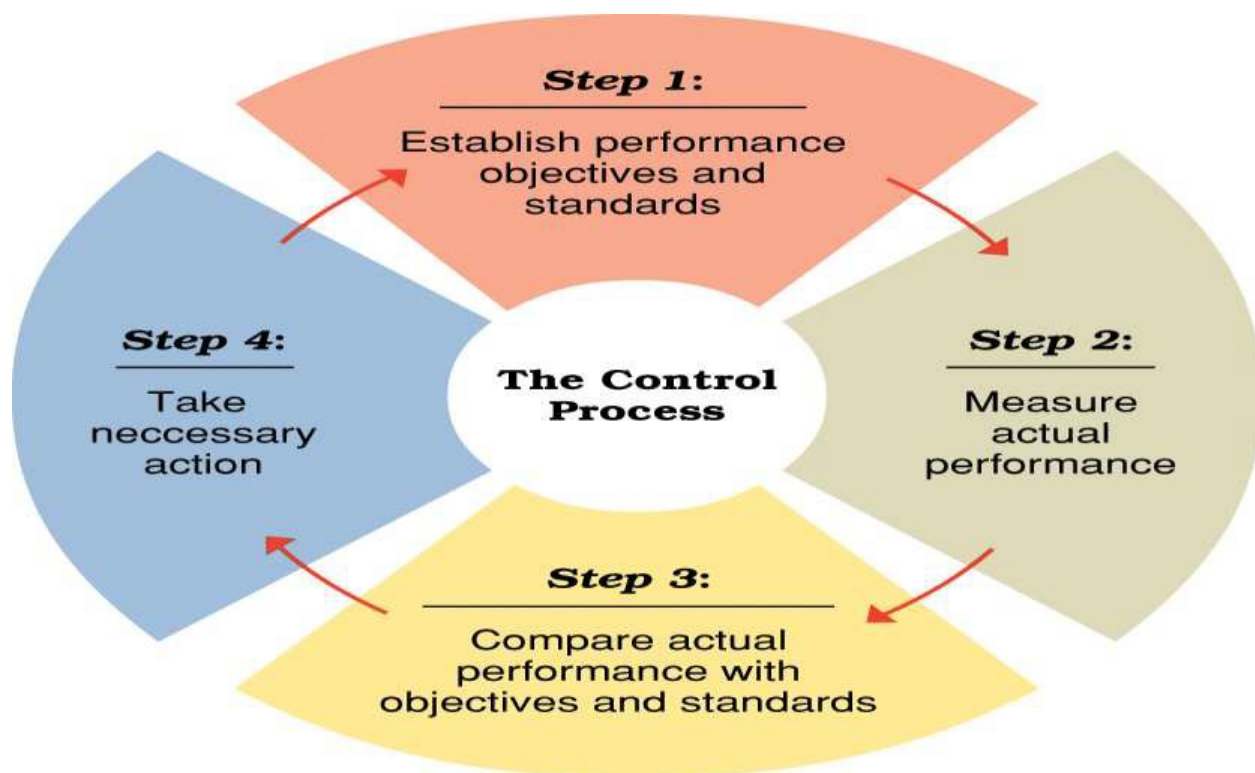
6. Organisational Efficiency and Effectiveness Proper control ensures organisational efficiency and effectiveness. Various factors of control, namely, making managers responsible, motivating them for higher performance, and achieving coordination in their performance, ensure that the

organisation works efficiently. The organisation also moves towards effectiveness because of control system. The organisation is effective if it is able to achieve its objectives. Since control focuses on the achievement of organisational objectives, it necessarily leads to organisational effectiveness. Looking into the various roles that control system plays in the organisation, the management should devise a control system which effectively meets the demands of the organization. The manager can do this if he is aware of the essential features of effective control system.

THE CONTROLLING PROCESS

According to Robert J. Mockler, control process involves the following steps:

Fig 8.1: Steps in control process



1. **Establish Standards and methods of measuring performance:** Standards are the criteria of performance. The goals and objectives established during the planning process should be stated in clear, measurable terms. Precisely, worded, measurable objectives are easy to communicate and to translate into standards and methods that can be used to measure performance.
2. **Measure the performance:** Measurement of control is an ongoing, repetitive process. The frequency of measurements depends on the type of activity being measured. Measurement of performance should be done on a forward looking basis so that deviations can be detected in advance of their occurrence, and avoided by appropriate actions. Thus feedback of performance measurements makes it possible to compare actual with intended results.

3. **Comparing the performance with the standards:** It is a matter of comparing measured results with established targets or standards previously set. It is nothing but comparing the actual results with the planned targets. If performance matches the standards, managers may assume that 'everything is under control'.
4. **Take corrective action:** This step is necessary if performance falls short of standards. The corrective action could involve a **change in one or more activities** of the organization's operations. Correction of deviations is the point at which control can be seen as a part of the whole system of management. Managers may correct deviations by redrawing their **plans or by modifying their goals**. Thus, controlling is a **dynamic** process. Unless managers see through the control process to its end, they are merely monitoring performance rather than exercising control. The emphasis should always be on devising constructive ways to bring performance up to standard, rather than on merely identifying past failures.

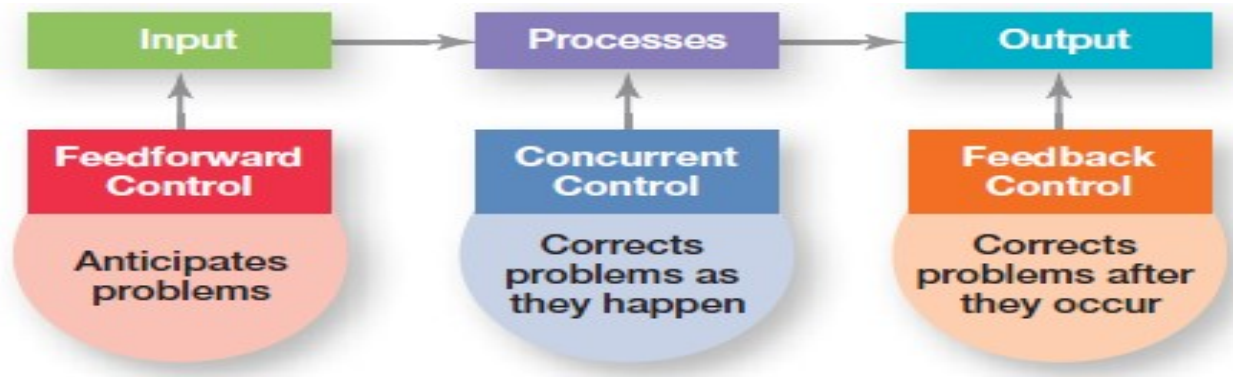
TYPES OF CONTROL

Control may be of different types and these can be classified on the basis of stage at which control can be exercised in controlling the work outcome and elements to be controlled.

Based on the production stages, control can be in three forms:

- Feed forward control
 - Concurrent control
 - Feedback control
1. **FEED FORWARD CONTROL:** This is a **preliminary control** that takes place before operations begin and includes the development of **policies, procedures and rules** to ensure that planned activities will be carried out properly. It is a **future directed** control method. It **monitors inputs** into a process to ascertain whether the inputs are as planned. If not, the inputs are changed in order to obtain desired results.
 2. **CONCURRENT CONTROL:** Concurrent control is the **heart of any operating control system**. It takes place during the **action phase** of carrying out the plans and includes **direction, monitoring and adjusting** the activities as they occur. Concurrent plan can assist in achieving that the plan will be carried out at the specified time and under required conditions.
 3. **FEED BACK CONTROL:** Feedback control **measures outputs** of a process and feed into the system or inputs for corrective action to obtain desired outputs. **Managers measure actual performance, compare the measurement with actual standards, and identify and analyze deviations**. They develop a progress for corrective action and implement it to achieve the desired performance.

Figure 8.2 Stages of control



Based on elements to be controlled, control can be divided into two forms:

- Strategic and
- Operational control.

1. Strategic control is the process of taking into accounts the changing planning premises, both external and internal to the organization, on which the strategy is based, continuously evaluating the strategy as it is being implemented, and taking corrective actions to adjust the strategy to the new requirements. This process is necessary because strategy formulation is based on certain assumptions. Since there is a time lag between strategy formulation and its implementation, some of these assumptions may not hold good, either fully or partially. To that extent, the strategy may not work as effectively as the strategists might have thought.

2. Operational control is concerned with action or performance and is aimed at evaluating the performance of the organisation as a whole or its different components-strategic business units, divisions, and departments. Operational control is used by almost every organization in some form or the other. This control can be exercised at different stages of work performance.

Cybernetic and Non-cybernetic Controls

A basic control process can be either cybernetic or non-cybernetic, depending on the degree to which human discretion is part of the system. **A cybernetic control system** is a self-regulating control system that, once it is put into operation, can automatically monitor the situation and take corrective action when necessary. E.g. computerized inventory system, a heating system controlled by a thermostat. **A non-cybernetic control system** is a control system that relies on human discretion as a basic part of its process.

Characteristics of Effective Control System

Controls may have many different characteristics, but some of the most important are:

- **Future-Oriented:** To be effective, control systems need to help regulate future events, rather than fix blame for past events. A well designed control system focuses on letting managers know how work is progressing toward unit objectives, pinpointing unforeseen opportunities that might be developed – all aids to future action
- **Multidimensional:** In most cases, control systems need to be multidimensional in order to capture the major relevant performance factors, such as, quality, quantity, overhead, etc.

- **Economically Realistic (Cost Effective):** The cost of implementing a control system should be less, or at most, equal to the benefits derived from the control system. The benefits received from controls should off-set their expenses.
- **Accurate:** Since control systems provide the basis for future actions, accuracy is vital. Control data that are inaccurate may be worse than no control at all, since managers may make poor decisions on the basis of faulty data they believe to be accurate. An inaccurate data from a control system can cause the organization to take action that will either fail to correct a problem or create a problem when none existent. Evaluating the accuracy of the information they receive is one of the most important control tasks that managers face.
- **Acceptable to Organization Members:** Control systems operate best when they are accepted by the organization members who are affected by them. Otherwise, members may take actions to override and undermine controls; i.e. controls will not work unless people want them to. Too many, arbitrary, too few and too rigid controls often cause the satisfaction and motivation of employees to decline.
- **Timely:** Control systems are designed to provide data on the state of a given production cycle or process as of a specific time. In order for managers and employees to respond promptly to irregularities, control systems must provide relevant information soon enough to allow corrective action before there are serious consequences.
- **Reliability and Validity:** Controls not only must be dependable (reliable), but also must measure what they intend to measure (must be valid). When controls can't be relied on and are invalid, they are unlikely to be trusted and can lead to very bad consequences.
- **Monitor-able:** Another desirable characteristic of control system is that they can be monitored to ensure that they are performing as expected. One way of checking a control system is to deliberately insert an imperfection, such as a defective part, and then observe how long it takes the system to detect and report it to the correct individual.
- **Organizationally Realistic:** The control system has to be compatible with organizational realities. All standards for performance must be realistic. Status differences between individuals have to be recognized. Individuals have to be able to see a relationship between performance levels they are asked to achieve and rewards that will follow.
- **Flexible:** Just as organizations must be flexible to respond rapidly to changing environments, control systems need to be flexible enough to meet new or revised requirements. Accordingly, they should be designed so that they can be changed quickly to measure and report new information and track new endeavors.
- **Focus on Critical Control Points:** Critical control points include all the areas of an organization's operations that directly affect the success of its key operations. The focus should be on those areas where failures cannot be tolerated and where that costs in time and money are the greatest.

- **Easy to Understand:** Complexity often means lack of understanding. The simpler the control, the easier it will be to understand and apply. Controls often become complex because more than one person is responsible for creating, implementing or interpreting them.
- **Emphasis on Exception:** A good system of control should work on the exception principle, so that only important deviations are brought to the attention of management. In other words management does not have to bother with activities that are running smoothly. This will ensure that managerial attention is directed towards error and not towards conformity. This would eliminate unnecessary and uneconomic supervision, marginally beneficial reporting and waste of managerial time.

MAKING CONTROLS EFFECTIVE

Managers face a number of challenges in designing control systems that provide accurate feedback in a timely, economical fashion that is acceptable to organization members. If controls are to work, they must be specially tailored to plans, to the individual managers and to the needs for efficiency and effectiveness. Guidelines for making controls effective are as follow:

1. **Identifying key performance Areas:** These **Key result areas** (KRA's) are those aspects of the unit or organization to succeed. The areas usually involve major organizational activities or groups of related activities that occur throughout the organization (Examples: Key performance areas for production, marketing, personnel, finance etc). These key performance areas help define the more detailed control systems and standards.
2. **Identifying strategic control points:** The most important and useful method of selecting strategic control points is to focus on the **most important elements** in a given operation. Usually only a small percentage of the activities in a given operation will account for a high proportion of the expense that managers will have to face. Once such strategic control points can be located, the amount of information that has to be gathered and evaluated can be reduced considerably.
3. **Tailoring controls to plans and positions:** All control techniques and systems should reflect the plans they are designed to follow. Every plan and every kind and phase of an organization has unique characteristics. **Likewise controls should be tailored to positions.** A small business will need some controls that differ from those in a large business. The very nature of control emphasizes the fact that the more controls are designed to deal with and reflect the specific nature and structure of plans, the more effectively they will serve managerial needs.
4. **Tailoring controls to individual managers:** Control systems and information systems are intended to help individual managers carry out their function of control. Adequate authority should be given. Taking the proper corrective action necessitates sufficient authority to accomplish this task.
5. **Objectivity of controls:** The standard is the key in controlling and is the basis for the evaluation. Effective control requires objective, accurate, quantitative and suitable standards.
6. **Flexibility of control:** Controls should remain workable in the face of changed plans, unforeseen circumstances etc. For effective controlling, it should be flexible, despite failure or unexpected change of plans.
7. **Fitting to the organizational climate:** To be most effective, any control system must fit the organizational climate. People who have little desire to participate, or who have not been accustomed to participating, are likely to want clear standards and measurement and specific directions.

8. **Economy of controls:** Controls must be worth their cost. Economy is relative, since the benefits vary with the importance of the activity, the size of operation and the contribution the system can make. If tailored to the job and to the size of the enterprise, control will probably be economical.

Over-control Vs Under-control

Since excessive amount of control can make the occurrence of dysfunctional aspects of control systems more likely, managers need to avoid over control. **Over-control** is the limiting of individual job autonomy to such a point that it seriously inhibits effective job performance. At the same time, managers need to avoid going too far in the other direction, which results in a situation of under-control. **Under-control** is the granting of autonomy to an employee to such a point that the organization loses its ability to direct the individual's efforts toward achieving organizational goals.

Determining the appropriate amount of control that should exist in organizations is a significant management decision. With the appropriate amount of control, a manager can be reasonably certain that no major unpleasant surprises will occur and that employees will achieve organizational goals.